

fixed by simply reopening a shuttered plant.

India is the world's fifth-largest holder of iron ore reserves and the second-largest steel producer. By any conventional measure, this is a country that should be entirely self-sufficient in iron ore. Yet India continues to import iron ore and metallurgical inputs.

India's steel demand is rising fast, but high-grade ore is limited. So, imports from Brazil and Oman are increasing, while lower-grade ore continues flowing out.

Much of India's iron ore is high in impurities such as alumina, silica, and phosphorus, making it difficult to use directly in the production of the high-grade steel that modern industries demand. Automobile manufacturing, defence production, precision engineering, and large infrastructure projects all require steel grades that domestic ore, in its current form, struggles to deliver without significant beneficiation.

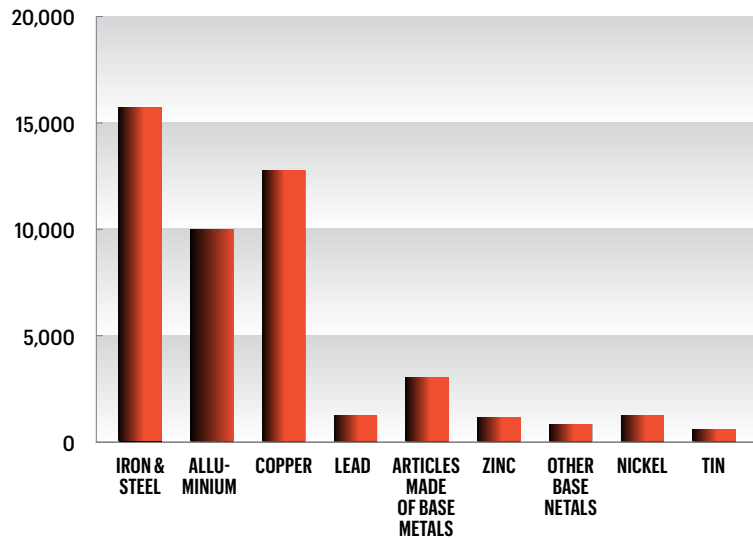
This is where the 2030 target sharpens an already uncomfortable problem. India's steel industry has set its sights on nearly doubling capacity to 300 million tonnes per annum by 2030, an ambition that would cement India's position as a global steel powerhouse. But achieving that target requires a step-change not just in volume of raw material, but in the quality of raw material supply.

ALUMINIUM

India produces a surplus of aluminium and exports it but gets undercut by cheap imports. In 2024-25, India's aluminium production stood at 6.4 million tonnes against domestic demand of 4.9 million tonnes, meaning India can comfortably meet its own requirements and export the surplus. Currently, India is already the

METAL DEPENDENCE

• India imported around three MT aluminium in 2025



NOTE IMPORTS (\$ MN)

SOURCE MINISTRY OF COMMERCE & INDUSTRY

world's second-largest producer of aluminium. Despite this surplus, India imported around 3 million tonnes of aluminium in 2025, largely from China and West Asia.

WHERE THEY COME FROM

The geography of India's metal imports adds another layer of concern. China is, by a wide margin, the largest source of India's base metal imports, supplying \$9.7 billion worth, nearly double the next largest supplier, Japan, at \$5 billion. Strikingly, six of India's top ten suppliers are in Asia, a reflection of just how dominant the region and China have become in global metal processing and export capacity.

For India, this means that any disruption to Chinese supply chains, whether from trade friction, export restrictions, or broader geopolitical tension, would not be a

minor inconvenience. It would hit India's metal-dependent industries hard, and it would hit them fast, given how embedded Chinese-sourced metals have become in everything from EV components to renewable energy infrastructure to steel production inputs.

Base metals, and copper in particular, sit at the intersection of nearly every priority sector in India's growth strategy. This creates a fundamental tension for a country that aspires to be the factory of the world.

The story of India's base metals trade is not one of scarcity. India has the reserves. It has the demand driven by electrification and infrastructure growth, and until India closes that gap, the country that used to mine these metals will keep having to buy them back. **BT**

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